ECON-241 Course Reader

Applied microeconomics notes and VidStack case record

Course purpose

Intermediate Microeconomics follows how consumers and firms make choices when resources, information, and alternatives are limited. The course moves from competitive markets and consumer choice to elasticity, market power, competition, welfare, and pricing design. VidStack is the shared case: a streaming service with different customer segments, fixed content costs, uneven information, and a difficult pricing decision.

How to reason in this course

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Week 1: Markets, demand, and supply

Market equilibrium, shifts, and shortages

Build a baseline VidStack demand and supply schedule, then separate a change in buyer preferences from a change in content-delivery cost.

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Week 2: Consumer choice and willingness to pay

Reservation value, marginal benefit, and consumer surplus

Use the six-customer schedule to calculate who gains from a flat price, who exits after an increase, and what the result does not establish about fairness.

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Week 3: Costs, revenue, and profit

Fixed cost, marginal cost, and the firm's decision

Separate the content budget from the incremental cost of serving one more subscriber before comparing revenue and profit.

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Week 4: Elasticity, incidence, and revenue

Percentage responsiveness and total revenue

Calculate midpoint elasticity before interpreting the VidStack price increase. A line's slope is not the same thing as elasticity.

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Week 5: Market power, markup, and churn

Marginal revenue, monopoly pricing, and retention

Compare a short-run price result with customer lifetime value and identify the churn data that would change the recommendation.

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Week 6: Price discrimination and tier design

Segmentation, fences, and cannibalization

Build a menu with a target use case, a price, a feature bundle, a fence, and a downgrade test for every tier.

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Week 7: Interactive Pricing Session

Evidence-grounded pricing recommendations

Frame the subscriber loss, build a tier table, revise it after a cannibalization challenge, and state the next evidence to collect.

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Week 8: Oligopoly and strategic pricing

Best responses and competitive reaction

Use a payoff table to reason about an entrant rather than treating a competitor's listed price as the whole strategic environment.

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Week 9: Bundling and two-sided platforms

Bundles, advertising, and cross-side effects

Compare separate prices and a bundle while explaining how a viewer-side offer changes advertiser value.

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Week 10: Information, signaling, and quality

Adverse selection and credible signals

Assess which quality claims a weaker platform could cheaply imitate and which trial or guarantee would actually be informative.

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Week 11: Welfare, surplus, and policy

Consumer surplus, producer surplus, and policy

Evaluate a catalog merger without confusing a transfer between buyers and sellers with deadweight loss.

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Week 12: Behavioral pricing and fairness

Reference prices, trust, and consumer response

Design an experiment that distinguishes a reference-price effect from a real change in product quality or customer trust.

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Week 13: Final project workshop

Model choice, evidence, and revision

Test whether a peer's pricing recommendation has a visible mechanism, a defensible evidence table, and an honest limitation.

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Week 14: Review and synthesis

Integrated microeconomic reasoning

Choose the model that answers the decision in front of you and name the observation that would make you switch models.

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